

JKR
Date: 7-22-13

BOPU RESOLUTION NO. 2013-10

Entitled: A RESOLUTION AUTHORIZING SUBMISSION OF AN APPLICATION TO THE WYOMING STATE LOAN AND INVESTMENT BOARD FOR A \$1 MILLION LOAN FROM THE STATE REVOLVING FUND FOR FUNDING THE RECYCLE WATER SYSTEM EXTENSION PROJECT AND AUTHORIZING THE BOARD DIRECTOR TO SIGN ALL LOAN DOCUMENTS.

WHEREAS, Wyoming Statute 15-7-401, provides for a Board of Public Utilities (BOARD) to manage, operate, maintain and control municipal waterworks, sanitary sewer system and sewage disposal plants; and

WHEREAS, Cheyenne City Code, Section 2.68.010, established such a BOARD to have exclusive authority to manage, operate, maintain and control the Cheyenne Municipal Waterworks, Sanitary Sewage System and Sewage Disposal Plants of the City and to make all rules and regulations necessary for the safe, economical and efficient operation and maintenance of the above facilities; and

WHEREAS, the City of Cheyenne (CITY) and BOARD recognize the need for the Recycle Water System Expansion Project (Project) which will assist in meeting Cheyenne's current and future demand for drinking water by providing an alternative supply of water to the Holliday Park area; and

WHEREAS, the CITY and Board desire to submit an application to the State Loan and Investment Board under the State Revolving Fund Green Project Special Program to assist in financing the Project; and

WHEREAS, if the application is accepted under the Green Project Special Program by the State Loan and Investment, then the Project would be eligible to receive a 25% principal forgiveness (\$250,000) loan and a 75% loan (\$750,000) at zero percent (0%) interest to be repaid over twenty (20) years ; and

WHEREAS, the STATE REVOLVING FUND program requires that certain criteria be met, as described in the State Loan and Investment Board's Rules and Regulations governing the program, and to the best of our knowledge this application meets those criteria; and

WHEREAS, the BOARD plans to repay the requested STATE REVOLVING FUND LOAN from revenues collected from charges for utility services to its customers and / or system development fees; and

WHEREAS, the BOARD recognizes that the annual principal payment on the proposed loan will be about \$37,500, assuming a \$750,000 loan with a term of 20 years at 0%.

NOW, THEREFORE, BE IT RESOLVED BY THE BOARD OF PUBLIC UTILITIES THAT IT DOES HEREBY;

Approve and support the submittal of an application to the Wyoming State Loan and Investment Board for a \$1,000,000 loan from the Wyoming State Revolving Fund to assist in funding the Recycle Water System Expansion Project; and

Funding in a combination of a State Revolving Fund Green Project principal forgiveness loan and a State Revolving Fund Special Program Green Project 0% interest loan; and

Authorize the Director of the Board of Public Utilities to act on behalf of the Board of Public Utilities on all matters relating to the application including execution of all the PROJECT loan documents including any amendments.

PRESENTED, READ AND ADOPTED this 19th day of August, 2013.

BOARD OF PUBLIC UTILITIES

BY:



Joe Bonds, President

—
(SEAL)

ATTEST:


Barbara Rogers, Secretary

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I. RECYCLE WATER SYSTEM EXTENSION – HOLLIDAY PARK PROJECT

II. PROJECT DESCRIPTION:

The project consists of an extension of the Recycle Water System to Holliday Park. The project would require the construction of about 4,200 feet of 8” pipeline and about 2,500 feet of 4” pipeline. The project would irrigate about 28.5 acres of sod.

III. FINANCE:

The Holliday Park Recycle Water System Extension Project is estimated to cost about \$1 million and is included in the FY 2014 water enterprise fund budget.

IV. STATUS:

If approved, BOPU staff will submit an application to the State Loan and Investment Board for project funding. Staff is requesting funding under the Green Project Special Program by the State Loan and Investment which includes a 25% principal forgiveness (\$250,000) loan and a 75% zero percent (0%) interest loan (\$750,000) to be repaid over twenty (20) years. The annual principal payment on the proposed loan will be \$37,500. That amount would be paid from revenue from the water enterprise fund.

V. REQUEST AND RECOMMENDATION:

Staff recommends that the Board adopt the RESOLUTION AUTHORIZING SUBMISSION OF AN APPLICATION TO THE WYOMING STATE LOAN AND INVESTMENT BOARD FOR A \$1 MILLION LOAN FROM THE STATE REVOLVING FUND FOR FUNDING THE RECYCLE WATER SYSTEM EXTENSION PROJECT AND AUTHORIZING THE BOARD DIRECTOR TO SIGN ALL LOAN DOCUMENTS. A similar Resolution will be sent to the Governing Body for review and approval.

